NATIONAL BANKING AUTHORITY

NBA/DOR/2026-27/125

December 28, 2026

National Banking Authority (Fraud Risk Management) Directions, 2026

Chapter I — Preliminary

1. Short Title and Commencement: These Directions shall be called the National Banking Authority (Fraud Risk Management) Directions, 2026, and shall come into force with effect from March 1, 2027.

2. Applicability: These Directions apply to every regulated entity accepting deposits or extending credit facilities to customers.

3. Definitions

   (i) 'Fraud' means any dishonest or fraudulent act perpetrated against a regulated entity or its customers, including misappropriation, forgery, and unauthorized credit facility manipulation.

   (ii) 'Modus Operandi' means the specific method or pattern used to perpetrate a fraud, recorded for the purpose of systemic control improvement.

   (iii) 'Special Committee of the Board' means a committee constituted specifically for monitoring and reviewing large-value fraud cases.

   (iv) 'Root Cause Analysis' means a structured investigation to identify the underlying control failure that enabled a fraud to occur.

Chapter II — Fraud Detection and Classification

3. Every regulated entity shall implement a real-time fraud monitoring system capable of flagging suspicious transaction patterns based on customer behavioral profiles.

4. Frauds shall be classified and reported in accordance with the timelines set out in Annexure I.

Fraud Value	Internal Escalation	Reporting to Authority
Up to ■1 lakh	Branch Manager, within 24 hours	Quarterly consolidated report
■1 lakh – ■1 crore	Regional Risk Head, within 24 hours	Quarterly consolidated report, within 15 days of quarter-end
Exceeding ■1 crore	Special Committee of the Board, immediately	Within 24 hours of detection

Chapter III — Reporting to the Authority

5. All frauds involving an amount of ■1 crore or more shall be reported to the Authority within 24 hours of detection, irrespective of whether an internal investigation has concluded.

6. The regulated entity shall constitute a Special Committee of the Board for monitoring and reviewing large-value frauds, which shall meet at least once every quarter.

7. Failure to report a fraud within the prescribed timeline shall attract a monetary penalty and shall be treated as a governance lapse requiring escalation to the Board.

> *Explanation:* For the purposes of clause 5, 'detection' means the point at which the regulated entity's fraud monitoring system, staff, or an external party first identifies the transaction pattern as potentially fraudulent, and not the date on which the internal investigation concludes.

Chapter IV — Preventive Controls and Staff Accountability

8. Regulated entities shall conduct mandatory fraud awareness training for all customer-facing staff at least once every twelve months.

9. Where staff complicity in a fraud is established, the regulated entity shall initiate disciplinary proceedings in accordance with its service rules, and shall report the outcome to the Authority.

10. Regulated entities shall maintain a centralized fraud database capturing modus operandi, amounts involved, and outcomes, to be reviewed periodically for systemic control improvements.

11. Staff Accountability Matrix

Disciplinary outcomes for staff complicity shall be proportionate to the degree of involvement, as set out in Annexure II.

Degree of Involvement	Illustrative Examples	Minimum Action
Direct Perpetration	Staff member directly executes or authorizes the fraudulent transaction	Termination and referral to law enforcement
Willful Facilitation	Staff member knowingly bypasses controls to enable a third party's fraud	Termination
Negligent Facilitation	Staff member fails to follow prescribed verification steps, enabling fraud	Written warning and mandatory retraining; recurrence results in termination

Chapter V — Board and Senior Management Responsibilities

12. The Board of Directors shall approve a Board-level Fraud Risk Management Policy, reviewed at least once every two years.

13. The Special Committee of the Board shall comprise at least three members, including one independent director, and shall review all frauds exceeding ■1 crore within thirty days of reporting.

Chapter VI — Transitional Provisions

14. Regulated entities shall implement the real-time fraud monitoring system required under clause 3 within twelve months of the commencement date.

15. Guidance notes issued by the Authority on fraud risk management prior to these Directions stand repealed with effect from the commencement date.

Chapter VII — Record Keeping

16. Fraud investigation reports, including root-cause analysis, shall be retained for a minimum of eight years from the date of closure of the case.

17. Records relating to frauds under investigation by law enforcement agencies shall be retained until final disposal of the matter, notwithstanding the minimum retention period.

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